



August 26, 2026

Duong Van Chau
205 Campbell Ave.
Altoona, PA 16602

Re: Beach Orangethorpe Hotel III, LLC

Dear Member:

Attached is your copy of the 2025 Partnership Form 1065 Schedule K-1 package. This summarizes your information from the partnership. This information has been provided to the Internal Revenue Service with the U.S. Partnership Return of Income, Form 1065.

The information provided on this schedule should be entered on your tax return in accordance with the Schedule K-1 instructions. If your return will be prepared by your accountant or attorney, you should provide a copy of this schedule to the preparer with your other tax information.

We thank you for the opportunity to serve you.



**Schedule K-1
(Form 1065)**Department of the Treasury
Internal Revenue Service**2025**

For calendar year 2025, or tax year

☐ Final K-1☐ Amended K-1

OMB No. 1545-0123

**Partner's Share of Income, Deductions,
Credits, etc.**

See separate instructions.

Part I Information About the Partnership**A** Partnership's employer identification number
81-1757974**B** Partnership's name, address, city, state, and ZIP code**BEACH ORANGETHORPE HOTEL III, LLC**
PO BOX 489
BUENA PARK, CA 90621-0489**C** IRS center where partnership filed return:
E-FILE**D** ☐ Check if this is a publicly traded partnership (PTP)**Part II Information About the Partner****E** Partner's SSN or TIN (Do not use TIN of a disregarded entity. See instructions.)
*****-**-********F** Name, address, city, state, and ZIP code for partner entered in E. See instructions.**DUONG VAN CHAU**
205 CAMPBELL AVE.
ALTOONA, PA 16602**G** ☐ General partner or LLC member-manager ☒ Limited partner or other LLC member**H1** ☒ Domestic partner ☐ Foreign partner**H2** ☐ If the partner is a disregarded entity (DE), enter the partner's:

TIN _____ Name _____

I1 What type of entity is this partner? **INDIVIDUAL****I2** If this partner is a retirement plan (IRA/SEP/Keogh/etc.), check here ☐**J** Partner's share of profit, loss, and capital:

	Beginning	Ending
Profit	3.5711823 %	3.5711823 %
Loss	3.5711823 %	3.5711823 %
Capital	3.6059153 %	3.6059153 %

Check if decrease is due to:

☐ Sale or ☐ Exchange of partnership interest. See instructions.**K1** Partner's share of liabilities:

	Beginning	Ending
Nonrecourse	\$ 11,007.	\$ 11,106.

Qualified nonrecourse financing	\$	\$
Recourse	\$ 4,518.	\$ 4,518.

K2 Check this box if Item K-1 includes liability amounts from lower-tier partnerships ☐**K3** Check if any of the above liability is subject to guarantees or other payment obligations by the partner. See instructions ☐**L Partner's Capital Account Analysis**

Beginning capital account	\$ 497,510.
Capital contributed during the year	\$
Current year net income (loss)	\$ -99.
Other increase (decrease) (attach explanation)	\$
Withdrawals and distributions	\$ ()
Ending capital account	\$ 497,411.

M Did the partner contribute property with a built-in gain (loss)?
☐ Yes ☒ No If "Yes," attach statement. See instructions.**N Partner's Share of Net Unrecognized Section 704(c) Gain or (Loss)**

Beginning	\$
Ending	\$

**Part III Partner's Share of Current Year Income,
Deductions, Credits, and Other Items**

1 Ordinary business income (loss) - 99.	14 Self-employment earnings (loss)
2 Net rental real estate income (loss)	15 Credits
3 Other net rental income (loss)	
4a Guaranteed payments for services	16 Schedule K-3 is attached if checked ☒
4b Guaranteed payments for capital	17 Alternative min tax (AMT) items
4c Total guaranteed payments	
5 Interest income	18 Tax-exempt income and nondeductible expenses
6a Ordinary dividends	
6b Qualified dividends	19 Distributions
6c Dividend equivalents	
7 Royalties	20 Other information Z * STMT AJ * STMT
8 Net short-term capital gain (loss)	
9a Net long-term capital gain (loss)	
9b Collectibles (28%) gain (loss)	
9c Unrecaptured section 1250 gain	
10 Net section 1231 gain (loss)	
11 Other income (loss)	
12 Section 179 deduction	21 Foreign taxes paid or accrued
13 Other deductions	
22 ☐ More than one activity for at-risk purposes*	
23 ☐ More than one activity for passive activity purposes*	

*See attached statement for additional information.

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SCHEDULE K-1 EXCESS BUSINESS LOSS LIMITATION
BOX 20, CODE AJ

<u>DESCRIPTION</u>	<u>PARTNER FILING INSTRUCTIONS</u>	<u>AMOUNT</u>
AGGREGATE BUSINESS ACTIVITY DEDUCTION	SEE IRS SCH. K-1 INSTRUCTIONS	99.

SCHEDULE K-1 SECTION 199A INFORMATION, BOX 20, CODE Z

<u>DESCRIPTION</u>	<u>AMOUNT</u>
TRADE OR BUSINESS - ORDINARY INCOME (LOSS)	-99.

SCHEDULE K-1 SECTION 199A ADDITIONAL INFORMATION

THE SECTION 199A AMOUNTS TO BE USED IN THE CALCULATION OF QUALIFIED BUSINESS INCOME DEDUCTION ON YOUR 1040/1041 RETURN ARE REPORTED ON LINE 20, UNDER CODE Z. PLEASE CONSULT YOUR TAX ADVISOR REGARDING THE CALCULATION OF THE QUALIFIED BUSINESS INCOME DEDUCTION, INCLUDING THE POSSIBLE AGGREGATIONS AND LIMITATIONS THAT MAY APPLY AND THE FILING OF THE 1.199A-4(C)(2)(I) ANNUAL DISCLOSURE STATEMENT.

SCHEDULE K-1

CURRENT YEAR NET INCOME (LOSS) AND
OTHER INCREASES(DECREASES)

DESCRIPTION	AMOUNT	TOTALS
ORDINARY INCOME (LOSS)	-99.	
SCHEDULE K-1 INCOME SUBTOTAL		-99.
NET INCOME (LOSS) PER SCHEDULE K-1		-99.

List of Codes for Schedule K-1 (Form 1065)

Box Number	
11. Other income (loss)	
	Code A. Other portfolio income (loss)
	Code B. Involuntary conversions
	Code C. Section 1256 contracts and straddles
	Code D. Mining exploration costs recapture
	Code E. Cancellation of debt
	Code F. Section 743(b) positive income adjustments
	Codes G and H Reserved for future use
	Code I. Gain (loss) from disposition of oil, gas, geothermal, or other mineral properties (section 59(e))
	Code J. Recoveries of tax benefit items
	Code K. Gambling gains and losses
	Code L. Any income, gain, or loss to the partnership from a distribution under section 751(b)
	Code M. Gain eligible for section 1045 rollover (replacement stock purchased by partnership)
	Code N. Gain eligible for section 1045 rollover (replacement stock not purchased by the partnership)
	Code O. Sale or exchange of QSB stock with section 1202 exclusion
	Code P. Gain or loss on disposition of farm recapture property and other items to which section 1252 applies
	Code Q. Gain or loss on Fannie Mae or Freddie Mac qualified preferred stock
	Code R. Specially allocated ordinary gain (loss)
	Code S. Non-portfolio capital gain (loss)
	Codes T through X. Reserved for future use
	Code ZZ. Other
13. Other deductions	
	Code A. Cash contributions (60%)
	Code B. Cash contributions (30%)
	Code C. Noncash contributions (50%)
	Code D. Noncash contributions (30%)
	Code E. Capital gain property to a 50% organization (30%)
	Code F. Capital gain property (20%)
	Code G. Contributions (100%)
	Code H. Investment interest expense
	Code I. Deductions-royalty income
	Code J. Section 59(e)(2) expenditures
	Code K. Excess business interest expense (EBIE)
	Code L. Deductions-portfolio income (other)
	Code M. Amounts paid for medical insurance
	Code N. Educational assistance benefits
	Code O. Dependent care benefits
	Code P. Preproductive period expenses
	Code Q. Reserved for future use
	Code R. Pensions and IRAs
	Code S. Reforestation expense deduction
	Codes T through U. Reserved for future use
	Code V. Section 743(b) negative income adjustments
	Code W. Soil and water conservation
	Code X. Qualified film, television, theatrical, and sound recording production expenses
	Code Y. Expenditures for removal of barriers
	Code Z. Itemized deductions
	Code AA. Contributions to a capital construction fund (CCF)
	Code AB. Penalty on early withdrawal of savings
	Code AC. Interest expense allocated to debt-financed distributions
	Code AD. Interest expense on working interest in oil or gas
	Code AE. Deductions-portfolio income
	Codes AF through AJ. Reserved for future use
	Code ZZ. Other
14. Self-employment earnings (loss)	
	Note: If you have a section 179 deduction or any partner-level deductions, see page 21 before completing Schedule SE (Form 1040).

Box Number	
	Code A. Net earnings (loss) from self-employment
	Code B. Gross farming or fishing income
	Code C. Gross nonfarm income
15. Credits	
	Code A. Zero-emission nuclear power production credit
	Code B. Credit for production from advanced nuclear power facilities
	Code C. Low-income housing credit (section 42(j)(5)) from post-2007 buildings
	Code D. Low-income housing credit (other) from post-2007 buildings
	Code E. Qualified rehabilitation expenditures (rental real estate)
	Code F. Other rental real estate credits
	Code G. Other rental credits
	Code H. Undistributed capital gains credit
	Code I. Biofuel producer credit
	Code J. Work opportunity credit
	Code K. Disabled access credit
	Code L. Empowerment zone employment credit
	Code M. Credit for increasing research activities
	Code N. Credit for employer social security and Medicare taxes
	Code O. Backup withholding
	Code P. Unused investment credit from the qualifying advanced coal project credit or qualifying gasification project credit allocated from cooperatives
	Code Q. Unused investment credit from the qualifying advanced energy project credit allocated from cooperatives
	Code R. Unused investment credit from the advanced manufacturing investment credit allocated from cooperatives
	Code S. Unused investment credit from the clean electricity investment credit allocated from cooperatives
	Code T. Unused investment credit from the energy credit allocated from cooperatives
	Code U. Unused investment credit from the rehabilitation credit allocated from cooperatives
	Code V. Advanced manufacturing production credit
	Code W. Clean electricity production credit
	Code X. Clean fuel production credit
	Code Y. Clean hydrogen production credit
	Code Z. Orphan drug credit
	Code AA. Enhanced oil recovery credit
	Code AB. Renewable electricity production credit
	Code AC. Biodiesel, renewable diesel, or sustainable aviation fuels credit
	Code AD. New markets credit
	Code AE. Small employer pension plan startup costs credit and contributions credit
	Code AF. Small employer auto-enrollment credit
	Code AG. Small employer military spouse participation credit
	Code AH. Credit for employer-provided childcare facilities and services
	Code AI. Low sulfur diesel fuel production credit
	Code AJ. Qualified railroad track maintenance credit
	Code AK. Credit for oil and gas production from marginal wells
	Code AL. Distilled spirits credit
	Code AM. Energy efficient home credit
	Code AN. Reserved for future use
	Code AO. Alternative fuel vehicle refueling property credit
	Code AP. Clean renewable energy bond credit
	Code AQ. New clean renewable energy bond credit
	Code AR. Qualified energy conservation bond credit
	Code AS. Qualified zone academy bond credit
	Code AT. Qualified school construction bond credit
	Code AU. Build America bond credit
	Code AV. Credit for employer differential wage payments
	Code AW. Carbon oxide sequestration credit
	Code AX. Carbon oxide sequestration credit recapture
	Code AY. New clean vehicles credit
	Code AZ. Credit for qualified commercial clean vehicles
	Code BA. Credit for small employer health insurance premiums
	Code BB. Employer credit for paid family and medical leave
	Code BC. Eligible credits from transferor(s) under section 6418

Box Number	
	Codes BD through BG. Reserved for future use
	Code ZZ. Other
17.	Alternative minimum tax (AMT) items
	Code A. Post-1986 depreciation adjustment
	Code B. Adjusted gain or loss
	Code C. Depletion (other than oil & gas)
	Code D. Oil, gas, & geothermal-gross income
	Code E. Oil, gas, & geothermal-deductions
	Code F. Other AMT items
18.	Tax-exempt income and nondeductible expenses
	Code A. Tax-exempt interest income
	Code B. Other tax-exempt income
	Code C. Nondeductible expenses
19.	Distributions
	Code A. Cash and marketable securities
	Code B. Distribution subject to section 737
	Code C. Other property
	Code D. Deemed distributions of money-decreases in partner's share of liabilities
	Code E. Reserved for future use
	Code F. Distributions of cash or marketable securities for performing services
	Code G. Distributions of property other than cash or marketable securities for performing services
20.	Other information
	Code A. Investment income
	Code B. Investment expenses
	Code C. Fuel tax credit information
	Code D. Qualified rehabilitation expenditures (other than rental real estate)
	Code E. Basis of energy property
	Code F. Recapture of low-income housing credit for section 42(j)(5) partnerships
	Code G. Recapture of low-income housing credit for other partnerships
	Code H. Recapture of investment credit
	Code I. Recapture of other credits
	Code J. Look-back interest-completed long-term contracts
	Code K. Look-back interest-income forecast method
	Code L. Dispositions of property with section 179 deductions
	Code M. Recapture of section 179 deduction
	Code N. Business interest expense (BIE)
	Code O. Section 453(l)(3) information
	Code P. Section 453A(c) information
	Code Q. Section 1260(b) information
	Code R. Interest allocable to production expenditures
	Code S. Capital construction fund (CCF) nonqualified withdrawals
	Code T. Depletion information-oil and gas
	Code U. Section 743(b) basis adjustment
	Code V. Unrelated business taxable income
	Code W. Precontribution gain (loss)
	Code X. Payment obligations including guarantees and deficit obligations (DROs)
	Code Y. Net investment income (NII)
	Code Z. Section 199A information
	Code AA. Section 704(c) information
	Code AB. Section 751 gain (loss)
	Code AC. Section 1(h)(5) collectibles gain
	Code AD. Section 1(h)(6) unrecaptured section 1250 gain
	Code AE. Excess taxable income
	Code AF. Excess business interest income
	Code AG. Gross receipts for section 448(c)
	Code AH. Noncash charitable contributions
	Code AI. Interest and tax on deferred compensation to partners
	Code AJ. Excess business loss limitation
	Code AK. Gain from mark-to-market election
	Code AL. Section 721(c) partnership

Box Number	
	Code AM. Section 1061 information
	Code AN. Farming and fishing business
	Code AO. PTP information
	Code AP. Inversion gain
	Code AQ. Conservation reserve program payments
	Code AR. IRA disclosure
	Code AS. Qualifying advanced coal project property and qualifying gasification project property
	Code AT. Qualifying advanced energy project property
	Code AU. Advanced manufacturing investment property
	Code AV. Clean electricity investment property
	Code AW. Reportable transactions
	Code AX. Corporate alternative minimum tax (CAMT)
	Code AY. Foreign partners, Form 8990, Schedule A
	Code AZ. Reimbursement of preformation expenditures
	Codes BA through BD. Reserved for future use
	Code ZZ. Other

2025

For calendar year 2025, or tax year beginning _____, ending _____
See separate instructions.

Information About the Partnership		Information About the Partner	
A Partnership's employer identification number (EIN) ** _ * * * * *		C Partner's social security number (SSN) or taxpayer identification number (TIN) (Do not use TIN of a disregarded entity. See instructions.) * * * _ * * _ * * * *	
B Partnership's name, address, city, state, and ZIP code BEACH ORANGETHORPE HOTEL III, LLC PO BOX 489 BUENA PARK, CA 90621-0489		D Name, address, city, state, and ZIP code for partner entered in C. See instr. DUONG VAN CHAU 205 CAMPBELL AVE. ALTOONA, PA 16602	
E Check to indicate the parts of Schedule K-3 that apply.			
1 Does Part I apply? If "Yes," complete and attach Part I		1	X
2 Does Part II apply? If "Yes," complete and attach Part II		2	X
3 Does Part III apply? If "Yes," complete and attach Part III		3	X
4 Does Part IV apply? If "Yes," complete and attach Part IV		4	X
5 Does Part V apply? If "Yes," complete and attach Part V		5	X
6 Does Part VI apply? If "Yes," complete and attach Part VI		6	X
7 Does Part VII apply? If "Yes," complete and attach Part VII		7	X
8 Does Part VIII apply? If "Yes," complete and attach Part VIII		8	X
9 Does Part IX apply? If "Yes," complete and attach Part IX		9	X
10 Does Part X apply? If "Yes," complete and attach Part X		10	X
11 Does Part XI apply? If "Yes," complete and attach Part XI		11	X
12 Does Part XII apply? If "Yes," complete and attach Part XII		12	X
13 Does Part XIII apply? If "Yes," complete and attach Part XIII		13	X
F Check applicable box. (1) ☐ Amended K-3 (2) ☐ Reserved for future use			

For IRS Use Only

Name of partnership BEACH ORANGETHORPE HOTEL III, LLC	EIN ** - ** - ** - ** - **	Name of partner DUONG VAN CHAU	SSN or TIN *** - ** - ****
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Part I Partner's Share of Partnership's Other Current Year International Information

Check box(es) for additional specified attachments. See instructions.

- | | | | |
|--|--|--|--|
| ☐ 1. Gain on personal property sale | ☐ 5. High-taxed income | ☐ 8. Form 5471 information | ☐ 11. Dual consolidated loss |
| ☐ 2. Foreign oil and gas taxes | ☐ 6. Section 267A disallowed deduction | ☐ 9. Other forms | ☐ 12. Form 8865 information |
| ☐ 3. Splitter arrangements | ☒ 7. Reserved for future use | ☐ 10. Partner loan transactions | ☐ 13. Other international items |
| ☐ 4. Foreign tax translation | | | (attach description and statement) |

Part II Foreign Tax Credit Limitation**Section 1 - Gross Income**

Description	(a) U.S. source	Foreign Source				(f) Sourced by partner	(g) Total
		(b) Foreign branch category income	(c) Passive category income	(d) General category income	(e) Other (category code)		
1 Sales							
A							
B							
C							
2 Gross income from performance of services							
A							
B							
C							
3 Gross rental real estate income							
A							
B							
C							
4 Other gross rental income							
A							
B							
C							
5 Guaranteed payments							
6 Interest income							
A							
B							
C							
7 Ordinary dividends (exclude amount on line 8)							
A							
B							
C							

Name of partnership BEACH ORANGETHORPE HOTEL III, LLC	EIN 81-1757974	Name of partner DUONG VAN CHAU	SSN or TIN ***-**-****
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Part II Foreign Tax Credit Limitation (continued)**Section 1 - Gross Income** (continued)

Description	(a) U.S. source	Foreign Source				(f) Sourced by partner	(g) Total
		(b) Foreign branch category income	(c) Passive category income	(d) General category income	(e) Other (category code)		
8 Qualified dividends							
A							
B							
C							
9 Reserved for future use							
10 Royalties and license fees							
A							
B							
C							
11 Net short-term capital gain							
A							
B							
C							
12 Net long-term capital gain							
A							
B							
C							
13 Collectibles (28%) gain							
A							
B							
C							
14 Unrecaptured section 1250 gain							
A							
B							
C							
15 Net section 1231 gain							
A							
B							
C							

Name of partnership BEACH ORANGETHORPE HOTEL III, LLC	EIN 81-1757974	Name of partner DUONG VAN CHAU	SSN or TIN ***-**-****
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Part II Foreign Tax Credit Limitation *(continued)***Section 1 - Gross Income** *(continued)*

Description	(a) U.S. source	Foreign Source				(f) Sourced by partner	(g) Total
		(b) Foreign branch category income	(c) Passive category income	(d) General category income	(e) Other (category code)		
16 Section 986(c) gain							
17 Section 987 gain							
18 Section 988 gain							
19 Reserved for future use							
A							
B							
C							
20 Other income (see instructions)							
A							
B							
C							
21 Reserved for future use							
A							
B							
C							
22 Reserved for future use							
A							
B							
C							
23 Reserved for future use							
A							
B							
C							
24 Total gross income (combine lines 1 through 23)							0.
A							
B							
C							

Name of partnership

BEACH ORANGETHORPE HOTEL III, LLC

EIN

**** - ** - ** - ** - ****

Name of partner

DUONG VAN CHAU

SSN or TIN

**** - ** - ** - ** - ******Part II Foreign Tax Credit Limitation** (continued)**Section 2 - Deductions**

Description	(a) U.S. source	Foreign Source				(f) Sourced by partner	(g) Total
		(b) Foreign branch category income	(c) Passive category income	(d) General category income	(e) Other (category code)		
25 Expenses allocable to sales income ...	99 .						99 .
26 Expenses allocable to gross income from performance of services							
27 Net short-term capital loss							
28 Net long-term capital loss							
29 Collectibles loss							
30 Net section 1231 loss							
31 Other losses							
32 Research & experimental (R&E) expenses							
A SIC code:							
B SIC code:							
C SIC code:							
33 Allocable rental expenses - depreciation, depletion, and amortization							
34 Allocable rental expenses - other than depreciation, depletion, and amortization							
35 Allocable royalty and licensing expenses - depreciation, depletion, and amortization							
36 Allocable royalty and licensing expenses - other than depreciation, depletion, and amortization							
37 Depreciation not included on line 33 or line 35							
38 Charitable contributions							
39 Interest expense specifically allocable under Regulations section 1.861-10(e)							
40 Other interest expense specifically allocable under Regulations section 1.861-10T							
41 Other interest expense - business							
42 Other interest expense - investment ...							
43 Other interest expense - passive activity							
44 Section 59(e)(2) expenditures, excluding R&E expenses on line 32							
45 Foreign taxes not creditable but deductible							

Name of partnership BEACH ORANGETHORPE HOTEL III, LLC	EIN **-*****	Name of partner DUONG VAN CHAU	SSN or TIN ***-**-****
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Part II Foreign Tax Credit Limitation (continued)**Section 2 - Deductions** (continued)

Description	(a) U.S. source	Foreign Source				(f) Sourced by partner	(g) Total
		(b) Foreign branch category income	(c) Passive category income	(d) General category income	(e) Other (category code)		
46 Section 986(c) loss							
47 Section 987 loss							
48 Section 988 loss							
49 Other allocable deductions (see instructions)							
50 Other apportioned share of deductions (see instructions)							
51 Reserved for future use							
52 Reserved for future use							
53 Reserved for future use							
54 Total deductions (combine lines 25 through 53)	99.						99.
55 Net income (loss) (subtract line 54 from line 24)	- 99.						- 99.

Part III Other Information for Preparation of Form 1116 or 1118**Section 1 - R&E Expenses Apportionment Factors**

Description	(a) U.S. source	Foreign Source				(f) Sourced by partner	(g) Total
		(b) Foreign branch category income	(c) Passive category income	(d) General category income	(e) Other (category code) (country code)		
1 Gross receipts by SIC code							
A SIC code:							
B SIC code:							
C SIC code:							
D SIC code:							
E SIC code:							
F SIC code:							
2 Exclusive apportionment with respect to total R&E expenses entered on Part II, line 32.							
A R&E expenses with respect to activity performed in the United States							
(i) SIC code:						2A(i)	
(ii) SIC code:						2A(ii)	
(iii) SIC code:						2A(iii)	
B R&E expenses with respect to activity performed outside the United States							
(i) SIC code:						2B(i)	
(ii) SIC code:						2B(ii)	
(iii) SIC code:						2B(iii)	

TAXABLE YEAR

2025

Member's Share of Income, Deductions, Credits, etc.

529421 12-27-25
CALIFORNIA SCHEDULE

K-1 (568)

 TYB 01-01-2025 TYE 12-31-2025
 -**-*

DUONGVAN CHAU

 205 CAMPBELL AVE
 ALTOONA PA 16602

 81-1757974 201604810284
 BEACH ORANGETHORPE HOTEL III LLC

 PO BOX 489
 BUENA PARK CA 90621-0489

A What type of entity is this member? • See instructions.

- (1) ☒ Individual (4) ☐ C Corporation (7) ☐ LLP (10) ☐ Exempt Organization
 (2) ☐ S Corporation (5) ☐ General Partnership (8) ☐ LLC (11a) ☐ Disregarded Entity (DE)
 (3) ☐ Estate/Trust (6) ☐ Limited Partnership (9) ☐ IRA/Keogh/SEP (11b) DE owner's name _____
 (11c) DE owner's TIN _____

B Is this member a foreign member? • ☐ Yes ☒ No

C Enter member's percentage (without regard to special allocations) of:

	(i) Beginning		(ii) Ending	
Profit	3.5712	% •	3.5712	%
Loss	3.5712	% •	3.5712	%
Capital	3.6059	% •	3.6059	%

 Check if decrease is due to: ☐ Sale or ☐ Exchange of LLC interest

D Member's share of liabilities:

	(i) Beginning		(ii) Ending	
Nonrecourse	\$ 11,007	.00 • \$	11,106	.00
Qualified nonrecourse financing	\$	.00 • \$		.00
Recourse	\$ 4,518	.00 • \$	4,518	.00

 Check the box if Item D includes liability amounts from lower-tier partnerships or LLCs ☐

 Check if any of the above liability is subject to guarantees or other payment obligations by the member ☐
E Reportable transaction or tax shelter registration number(s)

Member's name

DUONG VAN CHAU

Member's identifying number

-**-*

- F** (1) Check here if this is a publicly traded partnership as defined in IRC Section 469(k)(2) ☐ (2) Check here if this is an investment partnership (R&TC Sections 17955 and 23040.1) ☐
- G** Check here if this is: (1) ☐ A final Schedule K-1 (568) (2) ☐ An amended Schedule K-1 (568)
- H** Is this member a resident of California? ☐ Yes ☒ No
- I** Did this member contribute property with a built-in gain or loss? If "Yes" attach statement. See instructions ☐ Yes ☒ No
- J** Member's share of net unrecognized IRC Section 704(c) gain or (loss) (i) Beginning (ii) Ending

K Analysis of member's tax basis capital account:

(a) Capital account at beginning of year	(b) Capital contributed during year	(c) Current year net income (loss) STMT	(d) Other increase (decrease) (attach explanation)	(e) Withdrawals and distributions	(f) Capital account at end of year, combine column (a) through column (e)
• 497,510	•	• -98		• ()	• 497,412

Caution: Refer to Member's Instructions for Schedule K-1 (568) before entering information from this schedule on your California return.

	(a) Distributive share items	(b) Amounts from federal Schedule K-1 (Form 1065)	(c) California adjustments	(d) Total amounts using California law. Combine col. (b) and col. (c)	(e) California source amounts and credits
Income (Loss)	1 Ordinary income (loss) from trade or business activities	-99	29	• -70	▶ -70
	2 Net income (loss) from rental real estate activities			•	▶
	3 Net income (loss) from other rental activities			•	•
	4 a Guaranteed payments for services				
	4 b Guaranteed payments for capital				
	4 c Total guaranteed payments			•	▶
	5 Interest income			•	▶
	6 Dividends			•	▶
	7 Royalties			•	▶
	8 Net short-term capital gain (loss)			•	▶
	9 Net long-term capital gain (loss)			•	▶
	10 a Total gain under IRC Section 1231 (other than due to casualty or theft)			•	▶
	b Total loss under IRC Section 1231 (other than due to casualty or theft)			•	▶
	11 a Other portfolio income (loss). Attach schedule			•	▶
	b Total other income. Attach schedule			•	▶
	c Total other loss. Attach schedule			•	▶

Member's name

DUONG VAN CHAU

Member's identifying number

-**-*

	(a) Distributive share items	(b) Amounts from federal Schedule K-1 (Form 1065)	(c) California adjustments	(d) Total amounts using California law. Combine col. (b) and col. (c)	(e) California source amounts and credits
Deductions	12 Expense deduction for recovery prop. (IRC Section 179)			☐	☒
	13 a Cash contributions			☐	
	b Noncash contributions			☐	
	c Investment interest expense			☐	☒
	d 1 Total expenditures to which an IRC Section 59(e) election may apply			☐	☒
	2 Type of expenditures ☒				
	e Deductions related to portfolio income. Attach schedule			☐	☒
f Other deductions. Attach schedule			☐	☒	
Credits	15 a Total withholding (equals amount on Form 592-B if calendar year LLC)			☐	☒
	b Low-income housing credit			☐	☒
	c Credits other than line 15b related to rental real estate activities. Attach schedule			☐	☒
	d Credits related to other rental activities. Attach schedule			☐	☒
	e Nonconsenting nonresident members' tax paid by LLC			☐	☒
	f Other credits - Attach required schedules or statements			☐	☒
Alternative Minimum Tax (AMT) items	17 a Depreciation adjustment on property placed in service after 1986			☐	☒
	b Adjusted gain or loss			☐	☒
	c Depletion (other than oil & gas)			☐	☒
	d Gross income from oil, gas, and geothermal properties			☐	☒
	e Deductions allocable to oil, gas, and geothermal properties			☐	☒
	f Other alternative minimum tax items. Attach schedule			☐	☒
Tax-exempt income and Nondeductible expenses	18 a Tax-exempt interest income			☐	☒
	b Other tax-exempt income			☐	☒
	c Nondeductible expenses STMT		28	☐ 28	☒ 28
Distributions	19 a Distributions of money (cash and marketable securities)			☐	
	b Distributions of property other than money			☐	
Other Information	20 a Investment income			☐	☒
	b Investment expenses			☐	☒
	c Other information. See instructions			☐	
21 ☐ More than one activity for at-risk purposes. See instructions.					
22 ☐ More than one activity for passive activity purposes. See instructions.					

Member's name

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Member's identifying number

-**-*

Other Member Information

Table 1 - Member's share of nonbusiness income from intangibles (source of income is dependent on residence or commercial domicile of the member):

Interest ...	\$		Sec. 1231 Gains/Losses	\$		Capital Gains/Losses	\$	
Dividends	\$		Royalties	\$		Other	\$	

FOR USE BY MEMBERS ONLY - See instructions.

Table 2 - Member's share of distributive items.

- A. Member's share of the LLC's business income. See instructions. \$
- B. Member's share of nonbusiness income from real and tangible personal property sourced or allocable to California.

Capital Gains/Losses	\$		Rents/Royalties	\$	
Sec. 1231 Gains/Losses	\$		Other	\$	

- C. Member's distributive share of the LLC's property, payroll, and sales:

Factors	Total within and outside California	Total within California
Property: Beginning	\$	\$
Property: Ending	\$	\$
Property: Annual rent expense	\$	\$
Payroll	\$	\$
Sales	\$	\$

CA SCHEDULE K-1

COLUMN C RECONCILIATION

DESCRIPTION	AMOUNT
ORDINARY INCOME (LOSS)	<70.>
NONDEDUCTIBLE EXPENSES	<28.>
TOTAL TO SCHEDULE K-1 ANALYSIS OF CAPITAL ACCOUNT, COLUMN C	<98.>

CA SCHEDULE K-1

NONDEDUCTIBLE EXPENSES

DESCRIPTION	AMOUNT	AMOUNT CA SOURCE
STATE INCOME/FRANCHISE TAXES	28.	28.
TOTAL TO SCHEDULE K-1, LINE 18C	28.	28.